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Executive Summary

Indian export shipping faces a dual-disruption environment as of the 3:00 PM IST update on 5 May 2026. The India-Pakistan trade standoff — triggered by the 22 April Kashmir attack — continues to reshape carrier networks: India's DGFT has formally prohibited all Pakistan-origin imports, reciprocal port access bans are in force, and CMA CGM (effective 15 May), MSC and Hapag-Lloyd (effective 21 May) have implemented emergency surcharges on Pakistan-related cargo; COSCO has halted all Karachi calls with vessels redirected to Port Klang. Maersk's Middle East Operational Update 29 (4 May 2026) confirmed that despite a reported temporary US-Iran ceasefire, transit through the Strait of Hormuz should still be avoided; 13 Indian-flagged vessels remain stranded west of the Strait and booking suspensions to upper Gulf ports (Iraq, Kuwait, Qatar, Bahrain, Saudi Arabia Dammam and Al Jubail) remain in place. On a positive note, Maersk announced ECS decreases effective next week: Indian Subcontinent to North Europe/Mediterranean drops from USD 1,000 to USD 500/TEU (from 10 May PCD), and Indian Subcontinent to West Africa drops from USD 800 to USD 400/TEU (from 11 May PCD). Red Sea Cape of Good Hope routing remains the default for all major carriers.

Key Developments Today

- **India-Pakistan trade standoff intensifies:** India's DGFT formally prohibited all Pakistan-origin imports. Pakistan banned Indian-flagged vessels from its ports. Reciprocal bans prevent Pakistan-origin cargo from calling at Indian ports.
- **Major carriers imposing Pakistan emergency surcharges:** CMA CGM effective 15 May (USD 800/container Pakistan→World); MSC and Hapag-Lloyd effective 21 May (USD 500 out / USD 300 into Pakistan). Hapag-Lloyd also levying USD 1,500/container GRI on India→US East Coast.
- **COSCO halts all Karachi services** and is redirecting en-route vessels to Port Klang, Malaysia. CMA CGM removed Karachi from three of its services (Europe, Mediterranean, intra-Asia).
- **Maersk Middle East Operational Update 29 (4 May 2026):** Temporary US-Iran ceasefire reported but unconfirmed as stable. Maersk advises Hormuz transit should still be avoided. 13 Indian-flagged vessels remain stranded west of the Strait. MT Sarv Shakti (LPG) made first India-bound Hormuz transit since crisis began on 3 May 2026.
- **ECS reductions for Indian exporters:** Maersk cuts Emergency Contingency Surcharge on ISC→North Europe/Med from USD 1,000 to USD 500/TEU (effective 10 May PCD) and ISC→West Africa from USD 800 to USD 400/TEU (effective 11 May PCD).
- **Red Sea unchanged:** Cape of Good Hope routing remains default for all major carriers. No normalization imminent.

Carrier-Specific Updates

Maersk

DISRUPTED

Middle East Operational Update 29 published 4 May 2026. Despite a reported temporary US-Iran ceasefire, Maersk confirms Hormuz transit should still be avoided pending security clarity. Booking suspension for upper Gulf ports (Iraq, Kuwait, Qatar, Bahrain, Saudi Arabia Dammam/Al Jubail, UAE excluding Khor Fakkan) remains in force. Landside bookings from UAE/Qatar via Jeddah and from Jeddah to UAE/Oman/Qatar temporarily paused. ECS revised downward: ISC to North Europe/Med now USD 500/TEU (effective 10 May PCD, down from USD 1,000); ISC to West Africa now USD 400/TEU (effective 11 May PCD, down from USD 800).

CMA CGM

DISRUPTED

Emergency Conflict Surcharge (ECS) effective 15 May 2026: USD 800/container for Pakistan to most global destinations (USD 300 for Far East/ISC/Middle East Gulf); USD 300/container for global to Pakistan (USD 800 from Far East). Karachi removed from three services covering Europe, Mediterranean, and intra-Asia routes.

Hapag-Lloyd

DISRUPTED

Emergency surcharge on Pakistan cargo effective 21 May 2026: USD 500/container out of Pakistan, USD 300/container into Pakistan. Additionally imposing USD 1,500/container GRI for India to US East Coast cargo. Rate increases from North Europe to India and Middle East effective from April 2026 remain in place.

MSC

DISRUPTED

Emergency surcharge on Pakistan cargo effective 21 May 2026: USD 500/container for cargo originating from Pakistan, USD 300/container for cargo destined for Pakistan.

COSCO

SUSPENDED

Halted all services to Karachi following India-Pakistan trade standoff. Vessels already en route to Karachi are being redirected to Port Klang (Malaysia). No resumption timeline has been specified.

Surcharge Schedule

Carrier	Surcharge Name	Trade Lane	Eff. Date	Amt TEU	Amt FEU	CCY
Maersk	ECS (Revised Down)	ISC/NW India/Pak → N.Europe & Med (E3W/E4W)	10 May 2026	USD 500	USD 500	USD
Maersk	ECS (Revised Down)	ISC/Pak → West Africa (W2MW)	11 May 2026	USD 400	USD 400	USD
CMA CGM	Emergency Conflict Surcharge (Pakistan Origin→World)	Pakistan → Most Destinations*	15 May 2026	USD 800	USD 800	USD
CMA CGM	Emergency Conflict Surcharge (World→Pakistan)	Most Origins → Pakistan*	15 May 2026	USD 300	USD 300	USD
MSC	Emergency Op. Surcharge	Pakistan Export (out)	21 May 2026	USD 500	USD 500	USD
MSC	Emergency Op. Surcharge	Pakistan Import (into)	21 May 2026	USD 300	USD 300	USD
Hapag-Lloyd	Emergency Op. Surcharge	Pakistan Export (out)	21 May 2026	USD 500	USD 500	USD
Hapag-Lloyd	Emergency Op. Surcharge	Pakistan Import (into)	21 May 2026	USD 300	USD 300	USD
Hapag-Lloyd	GRI — India to USEC	India → US East Coast	TBC	USD 1,500	USD 1,500	USD

* CMA CGM ECS: Pakistan→Far East/ISC/MEG = USD 300; Far East→Pakistan = USD 800. Amounts per container (not per TEU/FEU distinction in source — per-container basis as published).

Trade Impact on Indian Exporters

Exporters shipping FCL from JNPT (Nhava Sheva), Mundra, and other Indian ports should take three immediate actions. First, verify with your freight forwarder whether your booked service previously included a Karachi call — any service that did has now removed it, potentially affecting vessel connectivity and schedule reliability. Second, if you are shipping to upper Gulf destinations (Iraq, Kuwait, Qatar, Bahrain, Saudi Arabia's Dammam or Al Jubail), confirm current booking acceptance status with your carrier, as Maersk's suspension for these ports remains in force as of 4 May 2026; Jeddah, King Abdullah Port, Salalah, and Khor Fakkan remain operational. Third, request updated surcharge quotes on all lanes: Maersk has reduced ECS on ISC-to-North Europe routes to USD 500/TEU (effective 10 May PCD) and on ISC-to-West Africa to USD 400/TEU (effective 11 May PCD), which is a direct cost reduction for exporters on these lanes. The Hormuz situation is evolving — a temporary US-Iran ceasefire was reported 4 May, but Maersk and other carriers continue to recommend Hormuz avoidance; container routing remains via Cape of Good Hope. Exporters should also check whether their cargo and vessel insurance covers current war-risk zones, as premiums remain elevated at 3-8% of vessel value for Gulf-transiting vessels.

Recommended Contingency Actions

✔ **Verify service routing:** Confirm with your freight forwarder whether any booked service has dropped Karachi — request the updated port rotation and check for schedule impact on your ETD/ETA.

✔ **Reconfirm Gulf bookings immediately:** If your cargo is destined for upper Gulf ports (Iraq, Kuwait, Qatar, Bahrain, Saudi Arabia Dammam/Al Jubail), contact your carrier today. Maersk has suspended bookings; confirm alternatives via Jeddah, Khor Fakkan, or land-bridge solutions.

✔ **Request updated surcharge quotes before finalising:** ECS rates changed on 4 May — quotes obtained earlier this week may be outdated. Specifically request India/ISC-origin surcharge schedules effective 10-11 May.

✔ **Review war-risk and cargo insurance:** Confirm your insurance policy covers current war-risk zones including Gulf waters and Hormuz approaches. Premiums have surged to 3-8% of vessel value — assess total landed cost before shipping.

✔ **Monitor Hormuz situation daily:** A US-Iran ceasefire was reported 4 May but remains unconfirmed and fragile. Do not assume Hormuz routing will be available for vessels departing in the next 7-14 days without carrier confirmation.

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